KENBRIGHT ACTUARIAL AND FINANCIAL SERVICES LIMITED

FINANCIAL CONDITION REPORT

INTERNAL TECHNICAL PROCEDURES

VERSION 1.0

JANUARY 2026

KAFS POLICY

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OUR REF

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DOCUMENT PURPOSE

This document has been produced as part of the internal technical procedures for KAFS and provides guidance on the preparation of a Financial Condition Report

DOCUMENT OWNERSHIP

The owner of this document is Kenbright Actuarial and Financial Services Limited

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LIST OF ABBREVIATIONS

NAME	DEFINITION
Actuary	A Fellow of the IFoA/Society of Actuaries
FCR	Financial Condition Report
KAFS	Kenbright Actuarial & Financial Services Limited
Maximum Event Retention (MER)	The maximum event retention (MER) is the largest loss to which an insurer will be exposed due to a concentration of risk exposures (such that the probability of a loss exceeding that amount is within a specified probability) after netting out any Excess of Loss Reinsurance.
Valuation Date	The date at which liabilities of an insurer are determined, e.g. final day of a quarter or financial year

1. DATA REQUIREMENTS

1.1. The data required for the preparation of a Financial Condition Report are:

a) Audited financials as at the valuation date

b) Completed quarterly Capital Adequacy Template for the valuation period

c) Detailed expenses breakdown by class of business

d) Extent to which previous FCR recommendations have been adopted

e) Insurance products launched during the year under review, and any products planned for launch in the next year

f) Organisational Structure, including company ownership and composition of the Board

g) Current Company Strategic Plan, including preceding years budgets & plans

h) Risk Management Strategy

i) Pricing Policy

j) Underwriting Manual

k) Claims Manual and Reserving Guidelines

l) Investment Policy Statement

m) Asset Liability Matching Policy

n) Capital Management Policy

o) IFRS 17 Accounting Policy Papers i.e. Discounting, Risk Margin etc

p) Policy Level Data*:

- Premium Register for the valuation period
- Claims (Paid claims during the valuation period and Outstanding as at the valuation date)

2. OVERVIEW

What is an FCR?

2.1. A Financial Condition Report (FCR) is a comprehensive actuarial report prepared by the Appointed Actuary that assesses an insurer's **overall financial health, solvency, and long-term sustainability**.

2.2. It consolidates financial performance, reserving, capital adequacy, risk exposures, and forward-looking assessments into a single document.

2.3. In Kenya, the FCR is required under the **Insurance Act (Cap 487)** and must be submitted annually to the Insurance Regulatory Authority (IRA).

Purpose of an FCR

2.4. The Financial Condition Report is a key actuarial report that provides a comprehensive view of an insurer's financial health. Its main purpose is to assess the insurer is financial soundness and capabilities of meeting all policyholder obligations, both now and in the future.

2.5. In doing so, it identifies risks by highlighting exposures such as insurance, market, operational, and liquidity risks that may threaten the insurer's financial stability if not well managed.

2.6. The report also plays an advisory role by offering recommendations on areas such as capital management, reinsurance, and product strategy, thereby equipping the Board and senior management with insights to support strategic decision-making.

2.7. Importantly, the preparation of an FCR is a statutory requirement under the Insurance Act and IRA guidelines. The Appointed Actuary must prepare the report annually and submit it to the Insurance Regulatory Authority (IRA) (*Guideline on the Actuarial Function.pdf*).

2.8. Before submission, the report must first be presented to the Board of Directors, ensuring they clearly understand the insurer's financial position and the risks it faces.

2.9. Once submitted, the IRA relies on the FCR as a supervisory tool to monitor solvency, confirm compliance with regulations, and assess the insurer's financial resilience.

2.10. Finally, the FCR reflects the professional accountability of the Appointed Actuary. It demonstrates their duty to policyholders and the wider public by ensuring transparency, accuracy, and integrity in actuarial advice.

Typical structure of an FCR

2.11. An FCR usually include:

a) **Executive Summary** – High-level findings and recommendations.

b) **Introduction** – Purpose, scope, reliance, limitations.

c) **Business Overview** – Insurer's market position, products, and governance.

d) **Recent Experience & Profitability** – IFRS 17 performance review.

e) **Insurance Liability Valuation & Reserve Adequacy** – Summary of reserving methods and results.

f) **Asset & Liability Management (ALM)** – Investment profile, asset mix.

g) **Capital Management & Solvency** – Risk-based capital requirements, solvency ratios.

h) **Reinsurance Arrangements** – Protections, reliance, and recoveries.

i) **Risk Management** – Risk policies, frameworks, and exposures.

j) **Internal Processes Review** – Underwriting and claims.

k) **Conclusion & Recommendations**.

Relevant IRA Regulations and Guidelines

2.12. The preparation of the Financial Condition Report (FCR) is guided by specific provisions within the Insurance Act (*The Insurance Act.pdf*) , as well as detailed regulations and guidelines issued by the Insurance Regulatory Authority (IRA) .

2.13. These regulatory references provide the statutory foundation for the content of the FCR and ensure consistency, transparency, and compliance across all insurers.

2.14. The following section maps the typical structure of an FCR to the relevant IRA regulations and guidelines, highlighting the legal and supervisory basis for each element of the report:

i. **Business Overview** – Governance requirements *Suitability of Persons.pdf*.

ii. **Insurance Liability Valuation & Reserve Adequacy –** Refer to the General & Life Insurance Valuation modules (The Insurance Valuation of Technical Provisions for General Insurance Business Guidelines 2017 (1).pdf)

iii. **Asset & Liability Management (ALM)** – The Insurance (Investments Management) Guidelines..pdf

iv. **Capital Management & Solvency –** Draft_Risk_Based_Capital_Adequacy1.pdf

v. **Reinsurance Arrangements** – Guideline on Reinsurance Arrangements.pdf.

vi. **Risk Management** – Guideline on Risk Management and Internal Controls.pdf.

vii. **Internal Processes Review** – Underwriting (Guideline on Insurance Risk.pdf & Guidelines on Insurance Products.pdf) and claims Guidelines1 on Claims Management.pdf.

3. KEY ASPECTS OF THE FCR

Roles and Responsibilities

3.1. The preparation and use of the FCR involves several parties, each with a distinct role to play in ensuring the report is accurate, useful, and compliant with regulatory requirements. These include:

a) Appointed Actuary

The appointed actuary has primary responsibility for preparing the FCR. This involves analysing the insurer's financial position, performing valuation of technical liabilities, identifying material risks, and formulating recommendations.

The actuary must sign the report and assume professional accountability for its contents, ensuring it is objective, transparent, and compliant with actuarial standards.

b) Board of Directors

The Board is responsible for receiving and reviewing the FCR before submission to the IRA. They must engage with the findings, understand the financial position and risks highlighted, and take appropriate action where recommendations that require strategic or policy decisions.

The FCR therefore serves as a key instrument in supporting the Board's oversight role.

c) Senior Management

Senior management provides the actuary with relevant financial, operational, and strategic information necessary for preparing the FCR.

They are also responsible for implementing recommendations, such as enhancing capital management, refining underwriting practices, or strengthening risk management frameworks.

d) Insurance Regulatory Authority (IRA)

The IRA uses the FCR as a supervisory tool to evaluate whether the insurer remains solvent, compliant with regulations, and able to meet policyholder obligations.

Based on the report, the regulator may follow up on issues identified, requiring corrective action or the introduction of additional risk controls.

Common Findings and Recommendations in FCRs

3.2. In practice, FCRs highlight key areas requiring attention or improvement. Common findings include:

a) **Under-reserving**, highlighting that current provisions may not be sufficient to meet obligations. (Particularly Outstanding Claims Reserves)

How to identify: Look for discrepancies between actual claims experience and booked reserves or adverse claims development trends (i.e. claims utilization patterns).

b) **Product pricing inadequacies**, where premiums may not sufficiently reflect expected claims and related expenses.

How to identify: Check profitability analysis, loss ratios, and expense ratios. Consistently high loss ratios or underwriting losses may signal inadequate pricing.

c) **Gaps in reinsurance strategies**, exposing the insurer to excessive or concentrated risks.

How to identify: Review reinsurance coverage relative to risk exposures. Indicators include low reinsurance protection for catastrophic events, high retention levels, or mismatches between the reinsurance program and the insurer's risk profile. (Through Maximum Event Retention (MER) analysis)

d) **Capital adequacy concerns**, requiring actions to reinforce the capital base.

How to identify: Examine solvency ratios and capital coverage against regulatory requirements. Persistent shortfalls or low buffers indicate vulnerabilities.

4. FCR CHECKLIST

4.1. Section 60(b) of the Insurance Act requires the appointed actuary to prepare a Financial Condition Report (FCR) for each financial year.

4.2. The report must cover specific areas to ensure that the insurer's financial soundness, risk exposures, and overall condition are appropriately assessed and communicated. The following checklist sets out the key elements that must be included in the FCR in accordance with the Act.

KE: Financial Condition Report - Checklist 20. Pursuant to Section 60(b) of the Act the appointed actuary of an insurer shall produce a financial condition report for each financial year which shall include the following-		
	Requirement	**Checklist**
(i)	A signed and dated statement by the appointed actuary indicating the date of the completion of the financial condition report.	
(ii)	The degree to which the appointed actuary relied upon information, including data and reports provided by the insurer, or upon testing of the data or other information by the insurer's internal auditor or other third parties must be explained in the financial condition report, together with an assessment of the consequent limitations of the financial condition report.	
(iii)	Where the appointed actuary relies on work carried out by other actuaries, the appointed actuary shall be satisfied as to the suitability of the work. Where the actuary is not satisfied, alternative analysis must be undertaken and explained in the financial condition report.	
(iv)	Where the insurer does not provide adequate and timely access to information, including data and reports, and staff, as required by the appointed actuary, and the information cannot otherwise be practically obtained, the appointed actuary may omit from the financial condition report analysis that is dependent on that information, but must provide an explanation as to why it has been omitted and an assessment of the consequent limitations of the financial condition report.	
(v)	Where the appointed actuary places reliance upon others to provide information required, and this information is limited, or not forthcoming, the appointed actuary must note this in the financial condition report, together with an assessment of the consequent limitations of the financial condition report.	
(vi)	The financial condition report shall include general background information on insurer's plans, forward projections, any regulatory requirements, the corporate structure and operations of the insurer.	
(vii)	The financial condition report shall outline the material risks arising from the insurer's plans at the effective date, recent experience and profitability which include significant features or trends in the insurer's recent experience to the extent of at least three years on premiums, claims, expenses, commissions, investment return, and profit and losses including any abnormal features.	
(viii)	Deviations of actual experience from the expected experience in the insurer's plan over at least the year since the previous balance sheet date will also be discussed, including an assessment of the reasons for these deviations.	
(ix)	The financial condition report will comment on the steps taken, or proposed to be taken, by the Board and Management of the insurer to address areas of deviation and the adverse experience.	
(x)	The financial condition report must include a summary of the key results of, and considerations arising from, the insurance liability valuation prepared at the effective date in accordance with the regulation of valuation of assets and liability. The financial condition report must make reference to the insurance liability valuation report, which can either be a separate report or included in the financial condition report.	
(xi)	The financial condition report must outline, consider and comment on material issues arising from or disclosed by the insurance liability valuation.	
(xii)	The financial condition report must include an assessment of the adequacy of past estimates of either outstanding claim liabilities or all insurance liabilities against the subsequent actual claims experience over a period of at least three years if experience exists.	

KE: Financial Condition Report - Checklist 20. Pursuant to Section 60(b) of the Act the appointed actuary of an insurer shall produce a financial condition report for each financial year which shall include the following-		
	Requirement	**Checklist**
(xiii)	The financial condition report must include comments on any material implications for the adequacy of current estimates of insurance liabilities, both including and excluding risk margins, arising out of the review of historical estimate.	
(xiv)	The financial condition report must consider the adequacy of premiums, and must outline, consider and comment on material issues arising from the insurer's pricing processes and underwriting and claim management practices.	
(xv)	The financial condition report must consider whether expected future profitability arising from the assessment of premium adequacy is materially in line with the insurer's plans.	
(xvi)	The financial condition report must outline, consider and comment on material issues arising from the insurer's approach to asset and liability management and in undertaking this assessment, the Actuary must outline, consider and comment on material risks arising from the;	
	a) insurer's liability profile and liquidity needs;	
	b) insurer's investment assets, in particular its	
	investment strategy and the nature, quantum and performance of those assets;	
	c) insurer's other assets, in particular reinsurance and non-reinsurance recoveries;	
	d) insurer's insurance liabilities and non-insurance liabilities	
	e) insurer's net assets; and	
	f)methods for valuing assets and non-insurance liabilities, particularly, changes in those methods.	
(xvii)	The financial condition report will outline the insurer's approach to setting and monitoring capital resources over time, including dividend policy, and the processes and controls in place to monitor and ensure compliance with the Minimum Capital Requirement as determined in accordance with Capital requirements regulations.	
(xviii)	The Actuary must consider and comment on that approach, as well as material risks arising from its application, having regard to the insurer's minimum capital requirements and needs for future capital to support the insurer's plans, including target and capital adequacy ratios used by the insurer.	
(xix)	The financial condition report must include the insurer's Minimum Capital requirements calculated in accordance with capital requirements regulations.	
(xx)	The financial condition report must outline, consider and comment on trends in the insurer's compliance with its minimum capital requirements and its capital targets at least in the last three years at quarterly intervals, taking into account the impact of material seasonal variation in the Minimum Capital requirements. The financial condition report must comment on the extent of, and reasons for, identified breaches of the insurer's Minimum Capital requirements or of its capital targets during the past year, and the actions that were taken by the insurer to rectify such breaches.	
(xxi)	The Appointed Actuary must consider and provide for the insurer's capacity to meet its minimum capital requirements and its capital targets for the next three years.	
(xxii)	The financial condition report will provide for material issues arising from the use of the insurer's reinsurance strategy, and from its actual current and past reinsurance arrangements, having regard to the insurer's liability profile. Reference must be made to the insurer's reinsurance management strategy and to the reinsurance arrangements statements submitted to the Authority.	
(xxiii)	In undertaking this assessment, the financial condition report must consider group reinsurance arrangements and relationships between the insurer and other entity's or institutions within the corporate group.	
(xxiv)	The financial condition report must assess the method used to calculate the insurer's maximum event retention and comment on whether the method is appropriate to the operations of the insurer.	
(xxv)	The Appointed Actuary will outline, consider and provide for material risks arising from the insurer's reinsurance arrangements, having regard to the documentation and extent of placement of reinsurance arrangements, obligations to pay future reinsurance premiums, and the certainty of the insurer's ability to make reinsurance recoveries under these arrangements.	

KE: Financial Condition Report - Checklist		
20. Pursuant to Section 60(b) of the Act the appointed actuary of an insurer shall produce a financial condition report for each financial year which shall include the following-		
	Requirement	**Checklist**
(xxvi)	The financial condition report will outline, consider and provide for material risks arising from use of risk transfer products, such as financial reinsurance or proposed reinsurance.	
(xxvii)	The appointed actuary will provide for material risks arising from the risk management framework of the insurer. Where there are limitations, the Appointed Actuary must note this in the financial condition report, together with an assessment of the consequent limitations of the report.	
(xxviii)	The financial condition report must make reference to the insurer's risk management strategy that has been submitted to Authority in accordance with regulations. The appointed Actuary will provide for material risks arising from the use of the reinsurance management strategy, including the extent of implementation of the insurer's risk management framework. Where there are limitations, the Appointed Actuary must note this in the report, together with an assessment of the consequent limitations of the financial condition report.	
(xxix)	The assessment of the financial condition of the insurer must include a discussion of the implications of material risks and issues identified during the assessment of the financial condition of the insurer.	
(xxx)	Where the Appointed Actuary identifies material risks with adverse implications for the insurer's overall financial condition, the Appointed Actuary must include in the financial condition report, recommendations intended to address these risks.	
(xxxi)	The Appointed Actuary must also provide for the extent to which the insurer has addressed recommendations provided in the previous financial condition report.	

5. APPROVAL

Thus, adopted and signed by the management and Chief Actuary of KAFS in January 2026.

APPROVED BY

Ezekiel Macharia

Chief Actuary & Managing Director – Kenbright Actuarial and Financial Services Limited

Date: January 2026

Signed:

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